National
Qualifications
2019

2019 Accounting

Higher

Finalised Marking Instructions

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General marking principles for Higher Accounting

Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.

(a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.

(b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.

(c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.

(d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.

(e) For **state** questions, candidates must list a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant item or fact.

(f) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

(g) For **analyse** questions, candidates must demonstrate their ability to identify, describe and explain relevant parts and the relationships between the parts and/or the whole. Candidates must be able to draw out and relate any implications.

Up to the total mark allocation for this question

- award **1 mark** for each relevant point of analysis
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

Marking instructions for each question

Section 1

Question			Expected response				Max mark	Additional guidance
1.	(a)		**Job Cost Statement for Job 99** ✓				**9**	
				£		**£**		
			Direct Materials					***1 mark** for X and Z **1 mark** for Y
			Material X (5,000 kg @ £10 per kg)	50,000	✓*			
			Material Y (2,500 kg @ £8 per kg)	20,000	**(1)**			
			Material Z (1,000 kg @ £30 per kg)	30,000	**(1)***	100,000		
			Direct Labour					
			Dept A (24,000 x (3/6) @ £12)	144,000	**(1)**			If machine hours included, maximum **1 mark** awarded for correct labour figures.
			Dept B (24,000 hrs x (2/6) @£8)	64,000	**(1)**			
			Dept C 24,000 x (1/6) @ £10)	40,000	**(1)**	248,000		
			PRIME COST ✓			348,000		
			Overheads					
			24,000 hrs x £3 per hour			72,000	**(1)**	
			TOTAL COST			420,000		If VAT added before margin, award maximum **1 mark** for profit margin. If VAT shown after profit margin – ignore.
			Profit margin (420,000/70) x 30			180,000	**(2)**	
			SELLING PRICE ✓			600,000		
			Heading, labels and arithmetic **(1)**					

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Question			Expected response	Max mark	Additional guidance
	(b)	(i)	**Overhead Analysis Statement/Sheet** ✓	**16**	

Overhead	Basis	Total	Dept A £	Dept B £	Dept C £	Dept D £	Dept E £	Marks
Indirect labour	Allocated	£81,800	£30,000	£13,100	£18,700	£12,300	£7,700	**1 (line)**
Depreciation of machinery	Value	£72,000	18,000	16,000	24,000	8,000	6,000	**(3)**
Heat and light	Area	£104,000	40,000	20,000	34,000	6,000	4,000	**(3)**
Factory admin	Employees	£9,000	4,000	1,600	2,400	400	600	**(3)**
Machinery running costs	Mach Hrs	£150,000	54,000	51,000	36,000	6,000	3,000	**(3)**
Rent and rates	Area	£26,000	10,000	5,000	8,500	1,500	1,000	**(3)**
Total Departmental Overheads		£442,800	£156,000	£106,700	£123,600	£34,200	£22,300	✓
Dept D	Dir Lab Hr		15,000	7,200	10,800	(34,200)	1,200	**(3)**
			£171,000	£113,900	£134,400	-	£23,500	
Dept E	Dir Mch Hr		9,000	8,500	6,000		(23,500)	**(2)**
Total Production Dept Overheads			**£180,000**	**£122,400**	**£140,400**			✓
Correctly headed up statement, arithmetic totals for department overheads in (b)(i) and production department overheads in (b)(ii) & (iii)								**(1)**

		(ii)	**3**	
		(iii)	**3**	If 1 arithmetic error award **1 mark**, if 2 or more errors award **0 marks**.

If 1 arithmetic error award **2 marks**, if 2 errors award **1 mark**, if 3 or more errors award **0 marks** in any one line.

<table>
<tr><th colspan="3">Question</th><th>Expected response</th><th>Max mark</th><th>Additional guidance</th></tr>
<tr><td></td><td>(c)</td><td>(i)</td><td>Overhead absorption rates

Dept A - £180,000/50,000 = £3·60 per labour hour (1)

Dept B - £122,400/34,000 = £3·60 per machine hour (1)

Dept C - £140,400/36,000 = £3·90 per labour hour (1)</td><td>3</td><td>If £ missing, do not award first mark only.</td></tr>
<tr><td></td><td></td><td>(ii)</td><td>
<table>
<tr><th></th><th>A</th><th></th><th>B</th><th></th><th>C</th><th></th><th>TOTAL</th><th>Marks</th></tr>
<tr><td>Overheads applied (dept rates)</td><td>£43,200</td><td>(1)</td><td>£45,360</td><td>(1)</td><td>£15,600</td><td>(1)</td><td>£104,160</td><td></td></tr>
<tr><td>Factory-wide basis</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£72,000</td><td>(1)</td></tr>
<tr><td>Increase *</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£32,160</td><td>(1)</td></tr>
</table>
</td><td>5</td><td>* Increase or decrease must be indicated to gain final mark.</td></tr>
<tr><td></td><td>(d)</td><td></td><td>If overheads are underabsorbed, then profits will be reduced. (as the selling price charged to customers may not cover all of the costs incurred by the business during the year) (1)</td><td>1</td><td></td></tr>
</table>

Question	Expected response	Max mark	Additional guidance
2. PART A		**9**	
(a) (i)	**Year 10** — ***Product A*** — ***Product B*** — ***Product C***		If hours worked out for each product but not totalled, or if an arithmetic error award **1 mark**.
	Machine hours per unit — 3 — 4 — 2		
	Current sales demand — 1,000 — 4,000 — 3,500		
	Total machine hours — 3,000 — 16,000 — 7,000 — 26,000 **(2)**		
(ii)	**Contribution per unit** — ***Product A*** — ***Product B*** — ***Product C*** — **Total**		
	Selling Price — £120 — £90 — £106		
	Less Variable Costs -		
	Materials — £15 — £9 — £12 **(1)**		
	Labour — £36 — £12 — £36 **(1)**		
	Variable Overheads — £15 — £5 — £15 **(1)**		If an arithmetic error award **1 mark.**
	— £66 — £26 — £63		
	Contribution per unit — £54 — £64 — £43 **(1)**		
(iii)	Total Contribution — £54,000 — £256,000 — £150,500 — £460,500 **(2)**		
	Less Fixed Costs — £70,000 **(1)**		
	Profit — £390,500		

Question			Expected response	Max mark	Additional guidance
	(b)	(i)	**Year 11** Capacity at Year 10 80% 26,000 hours 100% capacity (26,000/80 x 100) 32,500 hours **(1)**	**9**	If no attempt to use limiting factor then award marks for correct hours (i) and fixed costs and profit (iii). If 1 error award **1 mark.**
		(ii)	**Product A** / **Product B** / **Product C** Contribution per unit £54·00 / £64·00 / £43·00 Machine hours per unit 3 / 4 / 2 Contribution per machine hour £18·00 / £16·00 / £21·50 **(2)** Order of Priority 2 / 3 / 1		
			Allocation of machine hours: **Qty** / **Hrs per unit** / **Total** / **Hours remaining** Hours available at full capacity — — — 32,500 Allocate Product C 5,000 / 2 / 10,000 / 22,500 Allocate Product A 4,000 **(1)** / 3 / 12,000 / 10,500 Possible production of Product B (10,500/4) 2,625 **(2)** / 4 / 10,500		
		(iii)	**Product A** / **Product B** / **Product C** / Total Contribution per unit £54 / £64 / £43 Number of units 4,000 / 2,625 / 5,000 Total Contribution £216,000 / £168,000 / £215,000 £599,000 **(2)***		***2 marks** for total contribution, any incorrect contribution for individual product, award **1 mark.**
		(iv)	Less Fixed Costs £80,500 Profit £518,500 **(1)**		

Question			Expected response	Max mark	Additional guidance
	(c)		***Year 12 Proposal***	**6**	If no attempt to use limiting factor in (b) then award marks for revised contribution per unit and total contribution for Product A and the fixed costs and profit – maximum **3 marks**.

Product A

Revised Contribution per unit	£51 **(1)**
Revised Contribution per m/hr	£17
Order of Priority	**C, A, B**

Allocation of machine hours	**Qty**		**Hrs per unit**	**Total**	**Hours remaining**
Hours available at full capacity					32,500
Allocate Product C	5,000		2	10,000	22,500
Allocate Product A	4,400		3	13,200	9,300
Possible production of Product B (9300/4)	2,325	**(2)**	4		

	Product A	***Product B***	***Product C***	**Total**
Contribution per unit	£51	£64	£43	
Number of units	4,400	2,325	5,000	
Total Contribution	£224,400 **(1)**	£148,800 **(1)**	£215,000	£588,200
Less Fixed Costs				£80,500
Profit				£507,700 **(1)**

<table>
<tr><th colspan="3">Question</th><th>Expected response</th><th>Max mark</th><th>Additional guidance</th></tr>
<tr><td></td><td></td><td></td><td>

ALTERNATIVE SOLUTIONS

1

Product A new Contribution	£51		**(1)**
Contribution per machine hour	£17		
Additional Contribution for 400 units of A	400 x £51 or ***1,200** x £17	20,400	**(1)**
Reduction in Contribution from 4,000 units of A	4000 x (54-51)	12,000	**(1)**
Reduction in Contribution from B	***1,200 (1)** hours x £16 or 300 units x £64	19,200	**(1)**
Original Profit		518,500	
Reduction	(+20,400-12,000-19,200)	10,800	
Revised Profit		507,700	**(1)**

2

Product A new Contribution	£51		**(1)**
Loss of Contribution from Product A	4000 units x £54	216,000	**(1)**
Increase in Contribution from revised Product A	4400 units x £51	224,000	**(1)**
Reduction in Contribution from B	**1,200 (1)** hours x £16 or 300 units x £64	19,200	**(1)**
Original Profit		518,500	
Reduction	(-216,000+224,000-19,200)	10,800	
Revised Profit		507,700	**(1)**

</td><td></td><td></td></tr>
<tr><td></td><td>(d)</td><td></td><td>Advise Newben plc not to implement the proposal in Year 12 as the profit would be lower. (1)</td><td>1</td><td></td></tr>
</table>

Question	Expected response	Max mark	Additional guidance
2. PART B (a) (i)	**Mixing Process Account ✓**	9	If complete reversal or not shown as an account, award half marks. If nomenclature error, do not award **1 mark** maximum on first occasion. If any quantity is entered other than materials, do not award mark. Normal loss must be based on input **material** quantity. If CPU is calculated correctly and applied to both Finished Goods and Abnormal Loss but Balance is incorrect, award **1 mark.**

Details	INPUTS			OUTPUTS			BALANCE			
	Qty	CPU	£	Qty	CPU	£		Qty	CPU	£
Materials from Refining	4,000	£5	£20,000	**(1)**				4,000	£5·00	£20,000
Additional Materials	2,000	£2	£4,000	**(2)**				6,000	£4·00	£24,000
Labour			£36,000	**(1)**				6,000	£10·00	£60,000
Variable Overheads			£15,000					6,000	£12·50	£75,000
Fixed Overheads			£6,000	**(1)**				6,000	£13·50	£81,000
Normal Loss				300	£4·00	£1,200	**(1)**	5,700	£14·00	£79,800
Closing Work-in-progress				500	£3·60	£1,800	**(1)**	5,200	£15·00	£78,000
Transfer to Stores				5,000	£15·00*	£75,000	***(2)**	200	£15·00	£3,000
Abnormal Loss				200	£15·00*	£3,000	**	0	0	£0

Question			Expected response	Max mark	Additional guidance
		(ii)	**Abnormal Loss Account ✓**	3	

Details	INPUTS			OUTPUTS			BALANCE		
	Qty	CPU	£	Qty	CPU	£	Qty	CPU	£
Transfer from Mixing	200	£15	£3,000	**(1)			200	£15	£3,000
Cash and Cash Equiv				200	£4·00	£800			£2,200
Income Statement						£2,200	(1) 0	0	£0

Account names, running balance and no arithmetical errors in balance column. (1)

	(b)	(i)	Process Costing consists of a succession of continuous operations or processes. **(1)** Each process represents a different stage of manufacture. **(1)** The output of one process becomes the input of another. **(1)** This continues until the units are complete and are transferred to a Finished Goods account. **(1)**	1	
		(ii)	Normal loss is anticipated whereas Abnormal loss is unexpected. **(1)** Normal loss is valued at 0 or scrap value whereas Abnormal loss is valued at the good output value. **(1)** Normal loss cannot be avoided whereas Abnormal loss is a loss which is over and above the normal loss. **(1)**	2	

Question			Expected response	Max mark	Additional guidance
3.	(a)	(i)	**Manufacturing Account for Year Ended 31 December Year 3** ✓	13	If direct costs or factory overheads deducted but indicated as add, treat as arithmetical error. If factory overheads indicated less or no indication and subtracted, award marks where possible and divide by 2. **2 marks** for all 4 factory costs. If one cost incorrect or missing award **1 mark**. 2 or more costs missing or incorrect **no marks**. If labelled profit on manufacture and negative figure shown, **ACCEPT**.

	£000		£000	
Opening inventory of raw materials			80	✓
Purchase of raw materials	200	✓		
Carriage in on raw materials	3	(1)	203	
			283	
Closing inventory of raw materials			60	(1)
COST OF RAW MATERIALS CONSUMED ✓			223	
Add Direct Costs				
Production wages	120	(1)		
Royalties	5	(1)	125	
PRIME COST ✓			348	
Add Factory Overheads				
Rates ((33 + 7) x 80%)	32	(1)		
Management salaries (60 x 75%)	45	(1)		
Factory indirect labour	111			
Factory (indirect) power	10			
Repairs to factory machinery	14			
Factory heat and light	23	(2)		
Depreciation of factory machinery (630 - 200) x 20%	86	(1)		
Factory cleaning (30/15 x 12)	24	(1)	345	
			693	
Opening inventory of work in progress			45	✓
			738	
Closing inventory of work in progress			15	(1)
FACTORY COST OF PRODUCTION ✓			723	
Profit on manufacture			277	
MARKET VALUE OF FINISHED GOODS ✓			1,000	(1)

Heading, labels, arithmetic (1)

Question			Expected response	Max mark	Additional guidance
		(ii)		6	If no market value used in manufacturing account, accept factory cost of production. If any item repeated across both statements do not award in correct statement.

Income Statement for Year Ended 31 December Year 3 ✓					
Sales revenue				1,950	✓
Cost of sales					
Opening Inventory of finished goods			110		✓
Add Market Value of finished goods			1,000		**(1)**
			1,110		
Less Closing Inventory of finished goods			90		**(1)**
			1,020		
Add: Warehouse expenses	47	**(1)**			
Management salaries (60 x 10%)	6	**(1)**	53		
				1,073	
Gross Profit ✓				877	

Heading, label, arithmetic (1)
No extraneous items across both statements (1)

	(b)		Goods that are only part complete. (at the beginning or end of the accounting period) **(1)**	1	

Question			Expected response	Max mark	Additional guidance
4.	(a)	(i)	Cromer plc Income Statement for year ended 31 December Year 4 ✓ Profit for Year after Tax 90 ✓ Add Unappropriated Profit 36 **(1)** 126 Less Appropriations Goodwill Written Down 8 ✓ Ordinary Dividend 15 **(1)** Preference Dividend 24 **(1)** 47 Unappropriated Profit ✓ 79	**3**	

Question	Expected response	Max mark	Additional guidance
(ii)	**Cromer plc** **Statement of Financial Position as at 31 December Year 4** ✓	**15**	

Non-Current Assets ✓	**Cost**		**Agg Dep**	**NBV**	
Property	690		(30)	720	**(1)**
Office Equipment	300		172	128	
Motor Vehicles	180		54	126	**(1)**
	1170		196	974	
Goodwill (20-8)				12	**(1)**
				986	
Current Assets ✓					
Trade Receivables (44-6)			38	**(1)**	
Closing Inventory			26	✓	
Selling Expenses Receivable			4	✓	
VAT			28	**(2)**	
			96		
Less Current Liabilities ✓					
Trade Payables	32	✓			
Admin Expenses Payables	4	✓			
Corporation Tax Payable	30	**(2)**			
Cash & Cash Equivalents (7-24)	17	**(1)**	83		
Working Equity				13	
Net Assets				999	
Equity					
450,000 Ordinary Shares £1 each ✓					450
400,000 6% Preference Shares £1 each ✓					400 **(2)**
					850
Reserves					
Revaluation Reserve			30	✓	
Unappropriated Profit			79	**(1)**	
Share Premium (150-60 **(1)**-50 **(1)**)			40	**(2)**	149
					999

Headings, labels, arithmetic and no extraneous items across parts (a)(i) and (ii) **(1)**

All 3 figures must be shown to gain award for property.

Goodwill must be shown below NCA to gain award.

Closing Inventory, Other Receivables and VAT for **2 marks**. If only 2, **1 mark**. Only 1 – **0 marks**.

Trade Payables, Other Payables and Corporation Tax needed for 2 marks. If only 2, **1 mark**. Only 1 – **0 marks**.

Value or number of shares missing award **1 mark** maximum. If shares not shown first award **1 mark** maximum.

If Ordinary Shares 400 and Pref Shares 400 award **1 mark** maximum.

Accept Bonus Shares as separate entry immediately above or below Ordinary Shares.

If Share Premium 140, 160, 90 or 100 award **1 mark**.

If Preliminary expenses entered do not award adjustment to Share Premium.

Question			Expected response	Max mark	Additional guidance
	(b)		Preference shares are part of share equity whereas debentures are non-current liabilities. **(1)** Preference shareholders may have voting rights whereas debenture holders do not. **(1)** Preference shareholders carry a fixed rate of dividend whereas debenture holders have a fixed rate of interest. **(1)** Preference shareholders do not guarantee a return on their investment whereas debenture finance cost must be paid. **(1)** Preference shares are not repayable whereas Debentures are repayable. **(1)** Both are long-term sources of finance. **(1)**	**2**	

[END OF MARKING INSTRUCTIONS]